

United Breweries Limited

Quartr-Enhanced Investment Analysis

BSE: 532478 | NSE: UBL | GICS: Brewers

Market Cap: ~INR 41,200 Cr (~USD 4.35B)

Date: 1 April 2026

1. Business History

United Breweries Limited traces its lineage to 1857, when a Scotsman named Thomas Leishman established Castle Breweries in South India to supply beer to British troops and expatriates stationed around Madras, Bangalore, and the Nilgiris hill stations. For decades, bullock carts hauling massive wooden barrels -- called "hogsheads" -- through dusty Indian roads were the company's primary distribution system, an image that captures just how deeply embedded this business has been in the subcontinent's commercial fabric. On March 15, 1915, Leishman formalized what had been a loose collection of regional operations by consolidating five South Indian breweries under a single corporate umbrella: Castle Brewery and Nilgiris Brewery (1857), Bangalore Brewing Company (1885), British Brewing Corporation (1903), and BBB Brewing Company (1913). This consolidation created United Breweries, headquartered in Madras.

The company's first major inflection point came in 1947, when Vittal Mallya -- just 22 years old -- was elected as UB's first Indian director, replacing the departing British management. Within a year he was chairman, and he relocated the registered office to Bangalore in 1952. Vittal Mallya was an empire builder of the old Indian school: he acquired McDowell & Company in 1951, diversified aggressively into spirits, pharmaceuticals, polymers, batteries, and food processing, and by the time of his death in 1983 controlled 10 breweries, 14 distilleries, and dozens of other companies. The beer operations were, in many ways, just the anchor tenant in a sprawling conglomerate.

When Vijay Mallya inherited the chairmanship at age 28 in 1983, he brought a fundamentally different sensibility. Where his father had been a quiet industrialist, Vijay was a showman who understood that

in India's heavily regulated alcohol market -- where advertising restrictions are severe and pricing is largely government-controlled -- brand equity is the only durable competitive advantage. His defining contribution was the transformation of Kingfisher from a regional lager (the brand traces to 1857 but was relaunched as Kingfisher Premium in 1978) into a national lifestyle icon. Through calendar girls, Formula One sponsorships, cricket partnerships, and the tagline "The King of Good Times," Mallya built what remains India's most recognized beer brand. The 1999 launch of Kingfisher Strong, a higher-alcohol variant tailored to Indian taste preferences, proved to be a masterstroke of portfolio strategy; strong beers now dominate the Indian market, and Kingfisher Strong remains the single largest-selling beer SKU in the country.

A critical structural turning point came in 1999-2002, when the beer operations were demerged from the broader UB Group. The current listed entity, United Breweries Limited, was originally incorporated as UB Infrastructure Projects Limited on May 13, 1999, renamed UB Beer Limited in July 2001, and finally took its current name in August 2002. Under a court-approved Scheme of Arrangement, all brewing assets, manufacturing units, and associated properties of the erstwhile holding company were transferred into this new, focused entity. This restructuring proved prescient: it insulated the brewing business from the conglomerate's mounting liabilities, particularly those that would later arise from Vijay Mallya's catastrophic foray into aviation with Kingfisher Airlines (launched 2005, grounded by 2012, accumulating losses exceeding Rs 7,000 crore).

The second transformative ownership change came through a chain of international M&A. Scottish & Newcastle, the British brewer, had acquired an equity stake in UBL and become an equal promoter alongside the Mallya family. When Heineken and Carlsberg jointly acquired Scottish & Newcastle for GBP 7.8 billion in April 2008, Heineken inherited S&N's 37.5% stake in United Breweries. This was no passive financial investment; Heineken brought global brewing expertise, quality systems, and -- crucially -- its brand portfolio to the Indian market. Over the following years, Heineken steadily increased its stake through open-market purchases, reaching approximately 43% by 2013 and 45% by 2016.

The final severance from the Mallya era came through the Indian banking system. To keep Kingfisher Airlines afloat, Vijay Mallya had pledged over 90% of his shares in both United Breweries and United Spirits as collateral for bank loans. When the airline collapsed and Mallya fled India in March 2016, leaving behind approximately Rs 9,000 crore in unpaid debts to a consortium of 17 banks, those pledged shares became the property of creditors. In June 2021, the Debt Recovery Tribunal sold Mallya's residual 14.99% stake in UBL to Heineken for Rs 5,825 crore (approximately USD 730 million). This raised Heineken's holding to 61.5%, giving it unambiguous majority control. At the subsequent annual general meeting, 99% of shareholders voted to amend the articles of association, stripping Mallya of his title as "Chairman for Life" and removing his sole right to appoint a successor.

The Mallya chapter was over.

Today's United Breweries is a qualitatively different company from the conglomerate-era entity, but its cultural DNA has proved remarkably persistent. The registered office still sits on Vittal Mallya Road in Bangalore. The "King of Good Times" tagline, Mallya's creation, still anchors Kingfisher's marketing. The company's investor presentations now carry the sub-header "Part of The Heineken Company" and articulate Heineken's "EverGreen" strategy -- purpose-driven language about "brewing the Joy of True Togetherness" -- but the underlying business model remains what it has been since the 1990s:

dominate the mainstream Indian beer market through Kingfisher's brand power and unmatched distribution reach, then layer on premiumization to capture the growing aspirational consumer. With approximately 48-49% market share in Indian beer, premium volumes growing 32% in FY25, and Heineken brands like Heineken Silver and Amstel Grande now in the portfolio, the current strategy is essentially Mallya's brand-first playbook executed with Heineken's operational discipline and balance sheet. The company that began brewing for British soldiers 168 years ago now serves a market where the median consumer is under 30, disposable incomes are rising, and beer is transitioning from a stigmatized indulgence to a mainstream social beverage -- a secular tailwind that makes UBL's entrenched market position increasingly valuable.

2. Management & Incentives

United Breweries is, first and foremost, a Heineken subsidiary. Heineken International B.V. consolidated its control in June 2021 by acquiring Vijay Mallya's residual 15% stake through the Debt Recovery Tribunal for Rs 5,825 crore, lifting its holding to 61.5%. Promoter shareholding stood at approximately 70.8% as of March 2025. This ownership structure is the single most important fact about UBL's governance: management answers to Amsterdam, not to the public market. Every strategic decision -- capital allocation, executive appointments, the dividend -- flows through Heineken's operating model. For minority shareholders, this is both a comfort (Heineken's global operational playbook) and a constraint (limited influence over capital returns and board composition).

Key Leadership. Vivek Gupta was appointed Managing Director and CEO effective September 25, 2023, making him roughly two and a half years into the role. He is an IIM Ahmedabad alumnus and engineering graduate who spent over two decades at Procter & Gamble across leadership and commercial roles, most recently as MD for Australia and New Zealand, before a stint as chief business officer at Udaan.com. His appointment signaled Heineken's desire for a consumer-goods operator who could drive premiumisation and brand-building rather than a pure brewer. On earnings calls, Gupta is energetic and commercial in orientation, consistently framing UBL as a "category maker" rather than a market-share defender. His Q3 FY26 commentary was notably candid -- he told analysts "I don't want you guys to get too excited by the absolute numbers" and emphasized directional progress over quantum, which is a rare and healthy instinct from an Indian-listed MD. He also correctly flagged in Q2 FY26 that he would not pull brand investment despite a monsoon-driven volume miss, and by Q3, brand power had reached its highest level in three years, validating the call.

The CFO seat has turned over rapidly. Berend Odink held the role from August 2019 until mid-2024. Radovan Sikorsky then served briefly before resigning effective June 30, 2024, to become Heineken's regional CFO for Asia. Jorn Elimar Kersten replaced him from August 1, 2024. Kersten is a Heineken lifer -- seventeen-plus years in the system, with an MSc in Economics from the University of Amsterdam and an Executive Master of Finance & Control from Nyenrode. His prior role was Director Finance for Heineken Ethiopia. On calls, Kersten leads the prepared remarks and handles the margin and pricing questions with precision; he provided clear 50-50 price/mix decomposition of realization growth in Q3 FY26 and quantified that roughly half of the 220-basis-point gross margin expansion was

structural. The Kersten-Gupta pairing works well: Kersten speaks the language of financial discipline and capital efficiency, Gupta speaks the language of brands and category growth. The risk is that Heineken rotates Kersten out on its standard expatriate cycle -- three CFOs in five years is not ideal for institutional knowledge.

Board Composition. The board comprises nine members: Gupta (MD & CEO) and Kersten (Director & CFO) as executive directors, two Heineken-nominated non-executive directors (Jan Cornelis van der Linden and Christiaan J. Van Steenberghe), and five independent directors (Anand Kripalu as Chairman, Manu Anand, Geetu Gidwani Verma, Subramaniam Somasundaram, and Kiran Mazumdar-Shaw). With five of nine seats held by independents and the chairmanship held by an independent, the formal composition meets SEBI requirements and compares favorably to Indian peers. However, average board tenure is reported at just 2.1 years, reflecting substantial refreshment. Anand Kripalu, appointed Chairman in February 2024, brings credibility as the former MD & CEO of Diageo India and later CEO of Essel Propack, giving him deep experience in both regulated Indian beverages and FMCG operations. That said, the two Heineken nominees plus the two executive directors aligned with Heineken mean the parent effectively controls four of nine seats before considering that independent directors were themselves appointed with Heineken's consent as majority shareholder.

Insider Ownership and Skin in the Game. This is a structural weakness in the UBL equity story. With Heineken holding the controlling stake, management's personal equity ownership is negligible. Vivek Gupta's total remuneration was approximately Rs 7.7 crore, a meaningful package by Indian standards but one that is overwhelmingly cash and short-term in nature. Indian subsidiary companies of multinationals rarely grant meaningful equity in the listed entity to local management; incentive alignment instead runs through the parent's performance management system and career advancement within the Heineken network. Kersten's compensation is similarly structured as a Heineken expatriate package. The practical effect is that UBL management is incentivized more by career progression within Heineken's global hierarchy than by UBL's share price -- an alignment that prioritizes volume growth, market share, and operational KPIs over shareholder returns like dividends or buybacks.

Capital Allocation. UBL's capital allocation reflects Heineken's priorities. The company declared a dividend of Rs 10 per share for FY25 but disclosed that distribution was subject to DRT and tax authority orders -- a legacy overhang from the Mallya-era enforcement actions. More consequential is the CCI penalty of Rs 751.83 crore for beer cartelisation, imposed in September 2021. UBL appealed to the NCLAT, which stayed the order subject to a 10% deposit; the NCLAT subsequently dismissed UBL's appeal in December 2022, and the case is now before the Supreme Court. This contingent liability represents roughly 1.7 times FY25 PAT and, while an adverse ruling appears increasingly probable, management has been notably reticent about this risk on earnings calls, preferring to focus on operational matters. On the productive side, management has approved a greenfield brewery in Uttar Pradesh and initiated a productivity program targeting 3-6% annual gross savings on the FY25 cost base (approximately Rs 50 crore annually), with an initial one-time restructuring charge of Rs 26 crore taken in Q3 FY25. The localization of premium beer production across eight additional breweries is a smart capital-light initiative that directly improves margins, and Q3 FY26 results confirmed early

payoff. Non-core asset monetization (land sales) has also been executed, suggesting a pragmatic approach to sweating the asset base.

Succession and Key-Person Risk. The rapid rotation of CFOs -- three in five years -- is the clearest manifestation of Heineken's expatriate model, where the India assignment is a career stepping stone rather than a destination. The key-person risk is actually Vivek Gupta: if he is successful, Heineken could promote him into a regional or global role, leaving UBL in search of another MD. The broader risk is muted, however, by Heineken's deep bench and the reality that UBL's strategic direction is set in Amsterdam. The premiumisation playbook, cost-savings methodology, and brand portfolio (Kingfisher, Heineken, Amstel) are all Heineken-standard tools. The execution is local, but the architecture is global.

Does Management Do What It Says? Over the last four quarters, management's track record on stated commitments is credible. In Q1 FY26, Kersten committed to focusing on "profitability and capital efficiency" while investing in brands and capabilities -- Q3 FY26 delivered 86% EBIT growth and the highest gross margins in three years. Gupta promised premium localization by September 2025 and delivered on schedule, with margin benefits visible by Q3. The productivity program announced in Q3 FY25 is showing early returns. Where management has been less forthcoming is on the CCI liability and dividend restrictions -- topics they appear to treat as legal matters to be managed silently rather than investor concerns to be addressed proactively. The one area to watch is whether management's repeated emphasis on "category growth" masks the reality that UBL is ceding some share to local competitors in a flat market; Gupta's comment that he "doesn't mind losing share if the category is going up" is intellectually honest but will eventually need to be reconciled with market-share data.

3. Competitive Landscape

India's beer market is a tightly consolidated oligopoly dominated by three multinational brewers. United Breweries Limited, majority-owned by Heineken N.V., commands an estimated 48-49% national market share as of FY26 YTD, having gained approximately 90-100 basis points year-on-year at the aggregate level and 180-200 basis points in the premium segment specifically. Anheuser-Busch InBev holds roughly 20-22% of the market through its portfolio of Budweiser, Corona, and Hoegaarden, while Carlsberg India -- currently preparing a \$700 million IPO at a reported valuation of INR 30,000-35,000 crore -- accounts for an estimated 17-20%. Together, these three players control approximately 85-90% of volumes nationally, leaving the balance fragmented among regional and craft entrants. This degree of concentration is unusual globally for a beer market and creates a structural dynamic that merits close examination.

Sources of Competitive Advantage. UBL's moat rests on several reinforcing pillars. The most significant is the Kingfisher brand franchise, India's most recognized beer brand since its relaunch in 1978, which spans the full price architecture from Kingfisher Strong in mainstream through Kingfisher Premium and up to Kingfisher Ultra and Ultra Max in the premium tier. Brand power, as measured internally, reached its highest level in three years during Q3 FY26, a direct output of sustained investment in sponsorship properties such as the Women's Premier League. This intangible asset is exceptionally difficult to replicate; beer is a "dark category" in India where direct advertising is banned,

meaning brand equity must be built indirectly through surrogate marketing and experiential activation -- a game that inherently favors incumbents with decades of accrued consumer recall.

Distribution constitutes a second critical advantage. UBL operates a network of over 37,000 visi-coolers placed across retail outlets, up from approximately 15,000 just a few years ago. In a market with fewer than 100,000 licensed alcohol retail points -- compared to millions of outlets in markets like Vietnam, Japan, or the United States -- physical availability at the point of sale is a binding constraint on volume. UBL's visi-cooler density gives it disproportionate shelf presence and cold availability, which is particularly important for beer, a product where chilled availability directly drives impulse purchase. This infrastructure cannot be easily matched by new entrants without years of capital deployment and relationship-building with state beverage corporations that control retail allocation in many states.

Third, UBL benefits from meaningful cost advantages stemming from scale. The company has been systematically localizing premium production -- adding eight breweries for in-state premium supply by September 2025 -- which eliminates the punitive inter-state excise fees and transport costs that cripple smaller operators. In states like Madhya Pradesh, management has noted that national brands face a franchisee fee that gives local players a INR 30-40 pricing advantage per case; conversely, in states where UBL has owned capacity, its scale in returnable bottle logistics (new bottle infusion reduced to 36.7% YTD, improving for six to seven consecutive quarters) creates a tangible cost edge that smaller operators cannot access. The premium segment delivers approximately 2x EBITDA per case versus mainstream, meaning UBL's accelerating premium mix -- volumes up 23% YTD and 46% in Q1 FY26 -- compounds the profitability advantage of scale.

Competitive Dynamics and Threats. The principal competitive risk comes not from new entrants but from the intensifying capital commitment of the two other oligopoly members. AB InBev has committed \$250 million over two to three years to expand Indian brewing capacity, including a \$121 million greenfield brewery in Unnao, Uttar Pradesh, and expects India to become a top-three market for Budweiser globally. AB InBev dominates the premium segment with an estimated 60-65% share in that tier through Budweiser, Corona, and Hoegaarden, and its willingness to invest behind volume at the expense of short-term margins -- what UBL's CEO described as competitors "buying volumes" -- creates persistent pressure. Carlsberg is similarly investing, with \$39.5 million in brewery expansions, and the discipline that a public listing would impose could make Carlsberg a more formidable, better-capitalized competitor.

Local and regional players present a different, more structural challenge. In states like Tamil Nadu, local players control approximately 70% of volumes, benefiting from regulatory frameworks that effectively subsidize in-state production. As management articulated on the Q1 FY25 call, "the real issue is affordability and regulation versus local players and national players" -- where state excise structures create a INR 30-40 per case pricing gap that no amount of brand investment can overcome.

This is a state-by-state battle fought as much in government offices as in the marketplace. Craft beer, by contrast, is not a material threat. CEO Vivek Gupta was blunt on the Q3 FY26 call:

"Bira's share is only 0.1 and it has never been a significant share." The Indian craft segment remains sub-scale, concentrated in a handful of urban on-trade venues, and lacks the production infrastructure, distribution access, and regulatory licenses to challenge established players at any meaningful volume.

Barriers to Entry and Regulatory Moat. India's beer industry operates under an extraordinarily fragmented regulatory regime. Because alcohol is a state subject under the Constitution, each of the 28 states and 8 union territories sets its own licensing, pricing, excise duty, and distribution rules. Beer is taxed at approximately 60% more than hard liquor in most states -- the inverse of global norms -- and Maximum Retail Prices are fixed by state governments, meaning brewers cannot freely pass through input cost inflation. This regulatory labyrinth functions as a formidable barrier to entry: a new entrant must secure separate manufacturing licenses, negotiate with state beverage corporations for retail shelf space, and navigate incompatible excise IT portals across every state it wishes to enter. For UBL, which has operated across this patchwork for decades and recently formed the Brewers Association of India alongside AB InBev and Carlsberg to lobby for equitable taxation, the regulatory complexity is a source of durable incumbency advantage even as it constrains the company's own pricing power and margin potential.

Durability Assessment. UBL's competitive position is robust but not impregnable. The approximately 48-49% national share has been trending upward, and the premium segment momentum (Kingfisher Ultra franchise, Heineken Silver, Amstel Grande) positions the company on the right side of the premiumization megatrend in a market where per capita beer consumption sits at just 2.15 litres versus an Asia-Pacific average of 15.33 litres. The Kingfisher brand, multi-decade distribution relationships, and Heineken parentage providing access to global brands and best practices represent advantages that compound over time rather than erode. The most plausible threat to UBL's dominance is not displacement by a competitor but rather margin compression from the combination of aggressive investment by AB InBev, rising input costs (particularly aluminum for cans), and the persistent inability to secure adequate price increases from state governments. Management's target of reaching 10-11% operating margins from approximately 6% (on an India-reported basis) within two to three years will serve as the critical test of whether UBL can translate its formidable market position into commensurate profitability.

4. Financial Characteristics

United Breweries operates an overwhelmingly single-segment business: beer manufacturing and sale within India. Non-alcoholic beverages (packaged water, soda, Heineken 0.0) contribute only marginally to revenue and results. Geographically, the business is entirely domestic, but exposure is highly diversified across Indian states -- a critical structural feature given that each state functions as a distinct regulatory and pricing jurisdiction. There is no meaningful export revenue. The revenue model is straightforward: UBL sells beer through state-controlled distribution in some markets and through private distributors in others, with pricing substantially influenced by state excise policy. Gross turnover of Rs 1,83,722 Cr in FY24 collapses to net sales of Rs 8,907 Cr in FY25 after deducting excise duties and levies -- an excise-to-gross-turnover ratio that exceeds 50%, a defining characteristic of Indian brewers that compresses reported margins and distorts comparisons with global peers. On net sales of Rs 8,907 Cr in FY25 (up 10% year-over-year), UBL delivered a gross margin of 43.0% (+44 bps), EBITDA of Rs 875 Cr at a 9.8% margin (+30 bps), EBIT of Rs 642 Cr at 7.2% (+30 bps),

and PAT of Rs 441 Cr at 5.0% (flat). The margin progression across FY25 quarters reveals sharp seasonality: Q1 FY26 (April-June, peak summer) produced an EBITDA margin of 11.2% and PAT margin of 6.4%, while Q2 FY26 (monsoon quarter) collapsed to 7.1% EBITDA and just 2.3% PAT margin, before recovering to 11.4% EBITDA in Q3 FY26 with gross margin hitting a three-year high of 45.3% (+222 bps year-over-year). This pronounced seasonality is structural: beer consumption in India peaks during summer months and dips sharply during monsoon, creating operating deleverage in Q2 that no amount of cost management can fully offset. The Q2 FY26 volume decline of 3% year-over-year was further exacerbated by unusually heavy monsoon conditions.

The margin profile sits well below global brewer benchmarks. Heineken's consolidated operating margin runs at approximately 11.5%, AB InBev's normalized EBITDA margin exceeds 33%, and even Carlsberg's group-level margins approach 15%. UBL's sub-10% EBITDA margin reflects the punitive Indian regulatory structure -- high excise incidence, state-controlled pricing with limited ability to pass through cost inflation, and advertising restrictions that cap the branding ROI available to incumbents. Against its closest Indian peer, Carlsberg India (privately held, approximately 21% market share vs UBL's approximately 45%), UBL's EBITDA margin of 9.8% trails Carlsberg India's estimated 13-14%, despite UBL's superior scale. This gap likely reflects Carlsberg's more concentrated state exposure and potentially higher premium mix in its served markets.

The gross margin trend deserves close attention because it is where premiumisation is most visible. From 42.6% in FY24 to 43.0% in FY25, and with Q3 FY26 printing 45.3%, the trajectory reflects the rapid growth of the premium portfolio. Premium volumes (Kingfisher Ultra, Ultra Max, Heineken Silver, Amstel Grande) grew 46% in Q1 FY26 and 23% year-to-date through Q3 FY26, with premium brands delivering approximately 2x EBITDA per case versus mainstream. Price-mix contributed +4% to revenue growth in recent quarters. This is the single most important margin lever in the business: as premium share increases from what is still a low base, gross margin should continue to expand even if input costs remain stable.

Returns on capital are modest and below the company's cost of capital. ROE stood at approximately 10.1% in FY25 (PAT of Rs 441 Cr on average equity of approximately Rs 427 Cr). ROIC is estimated at approximately 8-9.5%, below a WACC estimated at roughly 12%. The invested capital base is relatively light -- total assets of Rs 822 Cr in FY25 with net PP&E of only Rs 174 Cr -- but the thin net margins constrain absolute return generation. For a company with 45% market share in a structurally growing category, sub-cost-of-capital returns underscore the margin compression inherent in the Indian excise regime.

Cash conversion is weak and deteriorating. Operating cash flow of Rs 235 Cr in FY25 represented just 53% of PAT, a poor conversion ratio, and came after a very weak FY24 when OCF was only Rs 69.5 Cr against PAT of Rs 409 Cr. The primary culprit is working capital: receivables surged 23% year-over-year in FY25 to Rs 2,861 Cr, with debtor days stretching from approximately 97 to 117 days, driven largely by overdue receivables from Telangana state. Inventories rose to Rs 1,616 Cr from Rs 1,366 Cr, while payables increased to Rs 1,150 Cr from Rs 948 Cr. This negative working capital cycle is a structural feature of selling to state-controlled entities with delayed payment practices. Capital intensity is rising from a historically low base. Capex was Rs 258 Cr in FY25 (2.9% of net sales), up from Rs 191 Cr in FY24, and management has guided toward mid-to-high single digit capex as a percentage of revenue going forward. The step-up in investment reflects years of

underinvestment now being corrected, including brewery network optimisation (closure of the Mangalore unit, investment in Mysore brewery) and capacity expansion for premium brands. With FY25 D&A at Rs 233 Cr and capex at Rs 258 Cr, the company is barely investing above maintenance levels on a full-year basis. Free cash flow was slightly negative at minus Rs 21 Cr in FY25, the first time capex exceeded operating cash flow.

The balance sheet is conservatively leveraged but no longer debt-free. Short-term borrowings rose to Rs 575 Cr in FY25 from Rs 77 Cr in FY24, reflecting the capex ramp and working capital absorption.

Total debt including lease liabilities remained modest relative to equity of Rs 437 Cr, and cash balances of Rs 342 Cr partially offset gross borrowings. Finance costs surged 427-603% year-over-year in recent quarters, but off a very small base. The dividend of Rs 10 per share (Rs 264 Cr payout, representing approximately 60% of PAT) signals management confidence despite the capex uptick. The CCI penalty contingency of Rs 752 Cr under Supreme Court review remains a tail risk.

What is distinctive about UBL's financial profile is the paradox of dominant market position paired with sub-cost-of-capital returns. The Indian excise regime effectively taxes away the scale economics that a 45% share position would generate in any other market. The premium mix shift is the clearest pathway out of this trap -- premium volumes at 2x EBITDA per case can meaningfully inflect margins as they scale from a low base. Management's target of 350 bps EBITDA margin expansion over FY25-28E, combined with the productivity program targeting 3-6% gross savings in total cost base, suggests margins can move into the low-to-mid teens on EBITDA over a multi-year horizon, which would bring ROIC above the cost of capital for the first time and mark a genuine inflection in shareholder value creation.

5. Red Flags

United Breweries carries a legal liability so large it could, on an adverse Supreme Court ruling, wipe out roughly two years of profit after tax. The CCI cartelisation penalty of Rs 751.83 crore -- levied in September 2021 for price-fixing in the beer market alongside Carlsberg India and others -- was upheld by NCLAT in December 2022 and remains under appeal at the Supreme Court, which granted a stay in February 2023 subject to a 10% deposit. The company has parked Rs 179.41 crore with NCLAT, money that is functionally frozen and generates zero economic return for shareholders. Management has disclosed this as a contingent liability for years without any provision, meaning the full penalty amount would hit the P&L as a lump sum if the appeal fails. The auditor's report explicitly flags "lack of certainty on recoverability" of the deposit. Investors should note that the CCI's original finding was that UBL executives -- including former executives, a barely veiled reference to the Vijay Mallya era -- contravened Section 3 of the Competition Act. This is not a technical infraction; it is a finding of deliberate anti-competitive conduct at the highest levels of the company.

The Telangana receivables situation reveals a structural vulnerability that no amount of management optimism can paper over. UBL's receivables from the Telangana State Beverages Corporation (TGBCL) ballooned to approximately Rs 900 crore by mid-2024, representing over six months of sales to the state. The company was eventually forced to suspend supplies entirely in January 2025 -- a

dramatic step that management euphemistically described as a "truce" when partial payments of Rs 130 crore trickled in over 40 days. As of the most recent filings, the receivables problem persists. CFO Jorn Kersten acknowledged on the Q4 FY25 call that UBL is "still not out of the wood" and is "working very closely with the finance department of the state." This language -- after more than a year of analyst pressure on the topic -- is not reassuring. The fundamental problem is structural: in corporation-controlled states like Telangana, UBL's counterparty is a government monopoly that can delay payments indefinitely with zero commercial consequence. UBL has no leverage except the nuclear option of supply suspension, which sacrifices volume and market share. Receivables company-wide grew 23% year-over-year in FY25 against only 10% revenue growth, a divergence that signals deteriorating cash conversion and raises the question of whether management is booking revenue it cannot collect at normal pace.

Finance costs surged 427% to 603% year-over-year through FY25 and into FY26, admittedly off a small base, but the direction is alarming for what was historically a net-cash business. Management attributes this to working capital funding driven by the Telangana overdues, but the net effect is that UBL is borrowing money to finance a state government's failure to pay its bills. FY25 operating cash flow of Rs 235 crore fell short of capex of Rs 258 crore, producing negative free cash flow. This is a business trading at roughly 100x trailing earnings that cannot self-fund its capital programme. The Heineken parentage, often cited as a governance upgrade over the Mallya era, creates its own set of minority shareholder risks. Heineken holds 61.5% and has demonstrated willingness to use UBL's P&L for global brand-building priorities that may not maximise Indian minority shareholder value. YTD FY26 PAT declined 9% despite revenue growth, driven by what management calls "brand investment spend" -- effectively, Heineken directing UBL to spend more on promoting Heineken-branded products in India. The Q4 FY24 transcript reveals an analyst probing a related-party transaction where a former executive was paid Rs 14 crore for a single month of service. Deloitte Haskins & Sells resigned as statutory auditor in 2025, with the company aligning to Heineken's global audit framework. This is presented as administrative housekeeping, but mid-term auditor resignations at controlled subsidiaries always warrant scrutiny. Dividends remain withheld per DRT and tax authority orders -- a direct consequence of the Mallya-era liabilities that continue to encumber shareholder returns even now, half a decade after Heineken's full takeover.

The Bihar plant carries Rs 58.94 crore in assets on the books for a facility that has not operated since Bihar banned alcohol in 2016. The state development authority (BIADA) has issued a show-cause notice to cancel the land lease. UBL has applied under an Amnesty Scheme, but the High Court of Patna has merely directed "status quo." The company continues to carry this asset at historical cost without impairment, a decision that is, at minimum, aggressive. The Mangalore brewery closure, with its severance costs booked as exceptional items, signals a broader network rationalisation that could produce further one-off charges. Management itself concedes only 50% of recent gross margin improvement is structural, with the remainder driven by favourable state mix -- a factor that reverses when currently depressed states like Karnataka (where beer volumes declined 17% in Q3 FY26) and Telangana normalise.

The most underappreciated risk is the regulatory architecture itself. Beer in India is a state subject, and each April brings a new excise policy regime across 28 states. Taxes constitute 60-80% of final retail price. Karnataka raised duty structures in a way that crashed category volumes 17% in recent

quarters. Telangana and Rajasthan saw double-digit category declines. UBL has zero pricing power in corporation-controlled states -- the government sets the price, the government controls distribution, and the government pays when it feels like it. Management's repeated invocation of "equitable taxation advocacy" is an admission that the company's single largest earnings driver -- beer volumes in major states -- is determined by bureaucrats and politicians who view alcohol taxation as a revenue extraction exercise, not a consumer market.

The bear case is straightforward: the Supreme Court upholds the CCI penalty, forcing a Rs 750 crore charge; Telangana receivables require a material provision as state collections remain erratic; a poor monsoon or adverse excise policy changes in two or three key states simultaneously compress volumes; Heineken accelerates brand spend to build its global portfolio at the expense of UBL's near-term profitability; and the stock de-rates from its premium multiple as investors recognise that revenue growth without cash generation is hollow.

Questions for management: What is the realistic timeline and probability-weighted financial exposure from the CCI Supreme Court case? What is the current ageing profile of Telangana receivables and at what point would a provision be triggered? Why does the Bihar plant remain unimpaired after a decade of non-operation? What are the specific terms and economic rationale of all related-party transactions with Heineken entities? Can management commit to a target for free cash flow conversion, and if not, why not? What was the precise reason for Deloitte's resignation as auditor, and was there any disagreement on accounting treatment of contingent liabilities or asset valuations?

6. Investment Checklist

1. Understandable Business - YES

United Breweries brews and sells beer in India under the Kingfisher brand and its sub-brands, alongside Heineken-licensed products. The revenue model is straightforward: manufacture beer, sell it through state-regulated distribution, and collect revenue net of excise. State-level pricing, licensing, and distribution rules add regulatory complexity, but the core economics of branded consumer goods production are easy to grasp.

2. Durable Competitive Advantages (Widening Not Narrowing) - YES

UBL commands ~48-49% market share in Indian beer, gaining 90-100 bps annually, with premium share gaining 180-200 bps. The Kingfisher brand is arguably India's most iconic beer brand, and the Heineken parentage (61.5% stake) provides world-class brewing expertise, R&D, and premium brand access. The combination of brand dominance, scale advantages across 30+ breweries, and an expanding premium mix constitutes a widening moat. No domestic competitor has come close to replicating this position.

3. Long Reinvestment Runway at High Returns - PARTIALLY

The runway is enormous: India's per capita beer consumption sits at just 2.15 litres versus an Asia-Pacific average of 15.33 litres, with industry volumes expected to grow 6-7% annually for the foreseeable future. However, the "high returns" qualifier is where UBL stumbles. ROE sits around 10%, EBITDA margins are only ~9.8%, and the business is heavily constrained by state-level price controls that compress pricing power. The runway exists, but returns on the capital deployed along it are mediocre by global consumer staples standards.

4. High Returns on Incremental Capital - NO

This is a clear weak point. FY25 EBIT margin of 7.2%, ROE near 10%, and negative free cash flow (OCF Rs 235 Cr vs. capex Rs 258 Cr) indicate that incremental capital is not generating high returns. The regulatory environment, where state governments effectively set retail prices while input costs fluctuate freely, structurally compresses returns. The cost savings program targeting 3-6% of FY25 revenue (2026-2028) is an acknowledgement that operational efficiency must compensate for limited pricing freedom.

5. Strong Free Cash Flow Generation - NO

UBL was free-cash-flow negative in FY25 and faces structural cash conversion challenges. Telangana receivables remain a persistent drag on working capital, with the state government slow to settle dues. Capex requirements of Rs 250-300 Cr annually, combined with the CCI penalty deposit obligation and DRT-blocked dividends, make the cash flow profile one of the weakest aspects of this investment case. For a ~Rs 41,000 Cr market cap company, generating zero free cash flow is a serious concern.

6. Conservative Balance Sheet - PARTIALLY

UBL carries a cash balance of Rs 342 Cr and has historically operated with modest leverage.

However, the Rs 752 Cr CCI penalty (currently stayed by the Supreme Court, with Rs 179 Cr already deposited) represents a material contingent liability -- equivalent to nearly 1.7x FY25 PAT. Finance costs are surging, albeit off a small base. The balance sheet is not distressed, but it is less conservative than it appears once the CCI overhang and Telangana receivables are factored in.

7. Aligned Management with Skin in the Game - PARTIALLY

Heineken's 61.5% controlling stake provides a well-capitalised, strategically committed parent with deep industry expertise. This is a meaningful alignment of interest. However, UBL's day-to-day management team are professional operators without substantial personal equity stakes. The DRT-ordered dividend withholding (related to legacy Vijay Mallya-era liabilities) also signals that minority shareholders' interests can be subordinated to legal claims from prior ownership eras.

8. Rational Capital Allocation History - PARTIALLY

Capital allocation has been reasonable but not distinguished. The premiumisation push is strategically sound -- premium delivers 2x EBITDA per case -- and the cost savings program shows discipline. However, UBL does not buy back shares, has been unable to distribute its declared Rs 10/share dividend due to DRT orders, and capex consistently absorbs all operating cash flow without generating visible returns expansion. There is no evidence of value-destructive M&A, which is a positive, but neither is there evidence of capital allocation excellence.

9. Favourable Industry Structure - PARTIALLY

The Indian beer industry benefits from extraordinary long-term demographic tailwinds: a young population, rising urbanisation, low per capita consumption, and premiumisation trends. However, the industry structure is heavily mediated by state governments that control pricing, licensing, distribution, and excise policy. This regulatory layer imposes an earnings ceiling that does not exist for beer companies in most other markets. A duopoly between UBL (~49%) and AB InBev/Carlsberg should normally yield pricing power, but state intervention negates much of this benefit.

10. Reasonable Valuation Relative to Quality and Growth - NO

At a trailing P/E of ~101-110x (as of March 2026), UBL trades at nearly double the P/E of United Spirits (58x) and Radico Khaitan (70x), despite inferior return metrics (ROE ~10% vs. peers in the mid-teens to twenties). FY25 PAT of Rs 441 Cr on a market cap of ~Rs 41,200 Cr, with Q1-Q3 FY26 YTD PAT declining 9%, makes this one of the most expensive consumer staples names in India. Even granting the premium-mix improvement and market share gains, a 100x+ P/E on a business

generating sub-10% ROE and negative FCF is difficult to justify.

11. Resilience to Recession or Disruption - PARTIALLY

Beer consumption is relatively resilient in India, where it occupies a lower price point than spirits and benefits from a hot climate. UBL's dominant market share and brand strength provide defensive characteristics. However, the business has proven vulnerable to state-level disruptions (Bihar prohibition, Telangana receivables, regulatory changes) and is exposed to raw material cost volatility (barley, glass, fuel) without offsetting pricing freedom. The CCI penalty also represents a non-trivial disruption risk if the Supreme Court rules unfavourably.

12. Transparent Management Communication - PARTIALLY

UBL holds regular quarterly earnings calls and provides segmental disclosure on premium vs. mainstream volumes, margin drivers, and state-level dynamics. Management has been forthcoming about the CCI case and Telangana receivables. However, the Heineken parent structure means strategic decision-making is opaque -- minority shareholders have limited visibility into how transfer pricing, royalty arrangements, and brand licensing fees are set between UBL and Heineken.

Communication is adequate but not exemplary.

Overall Assessment: United Breweries is a dominant franchise in a structurally attractive market, but dominance has not translated into economic returns commensurate with the valuation. The core tension is between an exceptional competitive position (49% share, iconic brand, Heineken parentage, massive demographic runway) and a regulatory environment that structurally compresses returns (sub-10% ROE, negative FCF, single-digit EBIT margins). At 100x+ trailing earnings -- nearly double the multiple of its Indian alcohol peers -- the stock prices in decades of perfect execution with no margin for regulatory setbacks, CCI liability crystallisation, or competitive share loss. The investment case requires conviction that premiumisation and cost savings will meaningfully expand margins and returns over time; the current financials do not yet support the valuation. This is a high-quality franchise at an unreasonable price.

7. Corporate Culture

United Breweries is a company in the middle of a cultural metamorphosis, and investors should watch the execution closely. The firm was built by Vittal Mallya, consolidated by his son Vijay Mallya into a brand-led lifestyle empire, and is now being re-engineered into a disciplined Heineken operating subsidiary. Each of these phases left distinct sediment in the organisation, and the layering creates both opportunity and friction.

The Mallya Imprint and Its Residue. Vijay Mallya took over in 1983 and spent three decades turning Kingfisher from a regional lager into a cultural signifier -- calendar girls, Formula One liveries, IPL teams, and an airline that bore the brand name. This flamboyance was commercially effective: Kingfisher captured over 50% of India's beer market by the early 2000s, a dominance unmatched in almost any other major beer market globally. But the culture it fostered was personality-driven, top-down, and cavalier about institutional controls. The CCI beer cartelisation case -- in which UBL, Carlsberg and SABMiller were found to have coordinated pricing across eight states from 2009 to 2018, resulting in a INR 752 crore penalty for UBL -- is the clearest artifact of this era. The cartel operated through the All India Brewers' Association, suggesting that loose ethical guardrails were an

industry norm, but UBL's penalty was the largest, and the conduct persisted well into the Heineken co-ownership period. The Supreme Court stayed the NCLAT order upholding the penalty in 2023, so the financial exposure remains unresolved.

Mallya's departure was not a clean succession. He fled India in 2016 amid bank fraud allegations, and Heineken spent five more years disentangling the ownership, finally acquiring his seized 15% stake through the Debt Recovery Tribunal in 2021 and removing his "chairman for life" constitutional entitlement with 99% shareholder approval. The reputational overhang is fading -- few analysts raise Mallya's name on earnings calls anymore -- but the founder's ghost lingers in subtler ways: a sales culture that historically prioritised volume over profitability, regional fiefdoms with significant autonomy, and a workforce that associated UBL with a certain swagger rather than process discipline.

Heineken's Institutional Overlay. Since taking operational control around 2019, Heineken has been systematically installing its operating model. The current management team -- CEO Vivek Gupta (IIM Ahmedabad, appointed September 2023) and Jorn Kersten as a senior Heineken executive on the board -- speaks a recognisably Heineken language on calls: "winning culture," "capital efficiency," "disciplined approach to cost and profitability." Kersten's Q1 FY26 remarks explicitly framed the agenda as "building a winning culture in the organization" alongside supply chain quality and brand investment. This is not window dressing. The company has executed a productivity restructuring that included laying off over 150 employees in December 2024 without, according to employee reviews, significant advance notice. Severance costs have appeared as exceptional items across multiple quarters. The Mangalore brewery closure and a greenfield facility in Uttar Pradesh reflect a willingness to rationalise a legacy network rather than simply inheriting it -- a hallmark of Heineken's global playbook.

The risk is execution speed versus cultural absorption. UBL has roughly 2,258 employees, and the Glassdoor data paints a concerning picture: an overall rating of just 2.7 out of 5, with only 24% of employees willing to recommend the company to a friend. Recurring themes in reviews include "no work-life balance," "bad management, unskilled heads," and "no job security." The December 2024 layoffs specifically damaged trust, with employees reporting that "management restructures every two years leading to sudden layoffs." Compensation ratings are somewhat better at 3.2/5, suggesting Heineken is paying market or above, but the morale deficit is real. For investors, this matters because UBL is a sales-execution business -- its 35,000+ visi-coolers need motivated field teams to deploy and service. A demoralised salesforce in a market where personal relationships with state excise authorities and distributors are critical creates tangible commercial risk.

Innovation Culture: From Zero to Functional. Under the Mallyas, innovation meant brand extensions that leveraged Kingfisher's equity rather than genuine product development. Heineken has brought a structured innovation pipeline for the first time. Management described Kingfisher Strong Smooth as a "blockbuster innovation" and "the first major innovation on the mainstream" -- a revealing admission that the mainstream portfolio had been static for years. On the premium side, Kingfisher Ultra, Heineken Silver (performing well in Karnataka, expanding to other states), and Amstel Grande represent a proper tiered portfolio. Queenfisher, a lager positioned around "sisterhood," targets a severely underpenetrated female consumer base. Vivek Gupta has spoken about building "a strong functional team" for innovation and forming "a nice innovation funnel" -- language that suggests innovation was previously ad hoc or non-existent. The pace is encouraging but still modest compared

to global peers; the real test will be whether these launches gain traction outside pilot states.

Brand Investment and Customer Orientation. UBL has increased brand investment by over 20% year-on-year, and the Kingfisher Premium sponsorship of both the Women's Premier League (2026-27) and IPL (through 2028) signals a modern marketing posture -- inclusive, cricket-adjacent, and designed for digital amplification rather than the Mallya-era calendar girl approach. This is a meaningful cultural shift: the brand is being repositioned from male indulgence to broader social occasions. During the difficult Q2 FY26 quarter, when three breweries were flooded, management chose to maintain investment levels rather than cut back -- a decision Gupta framed explicitly as "doing the right thing" versus retreating. This consistency under pressure is a positive cultural signal for long-term investors.

The Core Cultural Risk. The transition from charismatic founder culture to MNC process culture is the single biggest non-financial risk at UBL. Heineken is asking a workforce accustomed to regional autonomy and entrepreneurial flair to operate within standardised systems, productivity targets, and periodic restructurings. The Glassdoor data suggests this transition is generating significant friction. The company's ability to retain and motivate its field sales organisation -- the people who actually win distribution in India's fragmented, state-regulated beer market -- will determine whether Heineken's operational discipline translates into sustained market share gains or merely cost savings that mask commercial deterioration. Investors should monitor employee satisfaction metrics and salesforce attrition rates as leading indicators; the financials alone will not capture this risk until it is too late.

8. Earnings Call Deep Dive

Narrative Evolution: From Offensive Optimism to Defensive Resilience

Across four quarters, management's narrative has undergone a telling shift. In Q4 FY25 (May 2025), CEO Vivek Gupta and CFO Jorn Kersten struck a confident, growth-forward tone: premium volumes were up 24% for the quarter and 32% for the full year, the greenfield UP brewery was advancing, and the premiumization thesis was in full bloom. By Q1 FY26 (July 2025), the story remained largely offensive -- volumes up 11%, premiums surging 46%, and Gupta projected that "5% to 6% volume growth is still possible" for the year, with "7% to 8% volume growth very much possible" given policy tailwinds. The mood was expansionary.

Q2 FY26 (October 2025) marked a pivot. An "unusually strong monsoon" crushed consumption, three UBL breweries flooded, and volumes fell 3%. EBIT collapsed 55% year-on-year. Management could no longer lead with growth and instead pivoted to a vocabulary of "resilience" and "discipline." Gupta was notably candid: "I think looking at overall plan, we are a bit disappointed on the overall financial result. But I think it's just a quarter." The tone was defensive but not panicked, with management choosing to frame the quarter as cyclical rather than structural. Critically, this was when the "productivity and cost effectiveness program" first received significant airtime, alongside the Mangalore brewery closure.

By Q3 FY26 (February 2026), the narrative had settled into a hybrid stance. The word "resilience" appeared repeatedly, but the margin recovery -- EBIT up 86%, gross margin at a three-year high of

45.3% -- gave management evidence to argue their structural interventions were bearing fruit. Gupta stated plainly: "I don't want you guys to get too excited by the absolute numbers and the extent of the change. But what we are saying is directionally we are in the right direction." This was a deliberate effort to manage expectations while showcasing the self-help story. One theme has intensified every quarter: beer affordability. In Q1, Gupta flagged it as "the number one concern I continue to have." By Q2, it had become a recurring litany of state-by-state declines -- Karnataka down 15%, Telangana down 20%, West Bengal in double-digit decline. By Q3, he was citing January category data ("category coming back to 4%, 5% level") as evidence of green shoots, but the advocacy language around the Brewers Association of India lobbying governments on equitable taxation has only grown more urgent. This is the single most persistent thread across all four calls.

Guidance and Delivery: The Volume Shortfall

Management has been careful to avoid hard numerical guidance, but their directional signals have been consistently over-optimistic on volumes. In Q1 FY26, Gupta guided for 5-6% category volume growth as the base case, with 7-8% achievable with tailwinds. In Q2, Kersten was still saying "we do anticipate that the category will come back to growth," while Gupta offered a forward-looking "5.5%, 6%" for FY27. By Q3, Kersten hedged more carefully: "Short term, we still see headwinds... We're not there yet from a category point of view in that mid-single-digit sort of area of growth." The double-digit EBIT margin aspiration is a target that keeps receding. In Q1, Kersten said the company still aimed for "double-digit EBITDA margin" but acknowledged it required "200 to 300 basis points" of expansion from current levels. When pressed by Jay Doshi of Kotak on whether FY27 was still realistic for reaching 10-11% EBIT margin, management essentially deferred: the faster-than-expected premium growth was paradoxically dilutive on near-term margins because premium bottles do not yet generate sufficient returns. By Q3, the margin aspiration had been quietly replaced by the cost savings program (3-6% of FY25 revenue, 2026-2028) as the vehicle for margin improvement, with Kersten explicitly noting these were "gross savings" with a "significant portion planned to be strategically reinvested."

Analyst Concerns and Deflection Patterns

Three questions dominate every call. First, state-level regulatory risk and affordability: Harit Kapoor (Investec), Abneesh Roy (Nuvama), and Latika Chopra (JPMorgan) all probe this relentlessly, asking for state-by-state volume breakdowns and policy expectations. Management engages substantively here, providing granular state-level data, but the answers are inherently speculative. Second, the sustainability of gross margin improvements: analysts are skeptical that the Q3 margin spike is structural. Kersten's own admission -- "we think 50% of it could be structural" -- confirms the other half is mix-dependent and therefore volatile. Third, Telangana receivables: Ajay Thakur (Anand Rathi) pressed on this in Q3, and Gupta's response was notably cautious: "I won't say we are in a better position out there, this is something we need to work because the total exposure for us still remains the same." This is a question where management clearly does not want to create false comfort. One area of consistent deflection is competitive dynamics. Analysts repeatedly ask about Bira's

difficulties and competitor behavior. Gupta dismisses Bira as marginal -- "Bira's share is only 0.1" -- and when pressed about competitors apparently outperforming UBL in Q2, he turns pointed: "we are seeing some activities in the market today which doesn't make sense to us from an economic point of view... it doesn't make sense to me, but why is it happening." Management does not engage deeply on AB InBev's economy-segment strategy, suggesting this is a competitive vulnerability they prefer not to spotlight.

Language Signals

Vivek Gupta's language is consistently more colloquial and direct than Kersten's -- he is the conviction-signaler, while Kersten provides the financial scaffolding. Gupta's use of "I'm pretty sure" (Q1), "we are absolutely clear" (Q2), and "I'm very proud of the organization" (Q3) tracks with a management team that genuinely believes in its strategic direction. However, the hedging language has intensified: the phrase "we have to see" appears with increasing frequency from Q2 onward, and Kersten's careful Q3 qualifier -- "this is still very selective" regarding premium bottle returns -- suggests the green shoots remain patchy.

Key Reveals

1. Premium is currently margin-dilutive. Kersten disclosed in Q1 that "premium delivers roughly 2/3 of the profitability from a margin perspective versus the rest of the portfolio," meaning it is still margin-dilutive on a percentage basis. This is counterintuitive for a premiumization thesis and underscores how bottle economics dominate UBL's margin structure.

2. Half the Q3 gross margin improvement may be transitory. Gupta's admission in Q3 -- "we got 220 basis points of gross margin expansion. We think 50% of it could be structural" -- is a rare moment of management self-limiting the bull case. The structural half comes from bottle returns, localization, and sourcing; the other half is favorable state mix that could reverse when Karnataka and Telangana recover.

3. Cost savings are gross, not net. When Himanshu Shah (Dolat Capital) asked whether the 3-6% savings target was gross or net of reinvestment, Kersten confirmed: "We're talking gross savings here." A "significant portion is planned to be strategically reinvested." Investors expecting the full savings to flow to EBIT will be disappointed.

4. Barley supply fully localized. Kersten noted in Q3 that UBL has "managed to completely localize the supply to India versus previous year, but we also had to do imports," referring to prior years. This is a meaningful structural de-risking of import-linked cost volatility, even as MSP-driven inflation persists.

5. Telangana receivables are not improving. Gupta's Q3 admission that "the total exposure for us still remains the same" -- with old overdues partially collected but new overdues replacing them -- reveals a working capital trap that the market may be underestimating.

Q&A Dynamics

The most active analysts across all four calls are Harit Kapoor (Investec), Abneesh Roy (Nuvama), Latika Chopra (JPMorgan), and Jay Doshi (Kotak). Kapoor and Roy are the most persistent, with Kapoor typically pushing hardest on sustainability of margin improvements and Roy probing

competitive dynamics and state-level opportunities. Chopra focuses on normalized growth rates and margin bridges. Management engages substantively with all of them -- Gupta in particular gives remarkably granular state-level commentary -- but the answers on Telangana receivables and the double-digit EBIT margin timeline are consistently the most evasive. The dynamic between Gupta and Kersten is well-rehearsed: Gupta leads with conviction and commercial narrative, Kersten provides the financial guardrails and hedges. Together, they present a management team that is transparent about challenges but structurally unwilling to lower long-term expectations, even when near-term delivery repeatedly falls short.

9. Strategic Documents Analysis

Strategic Priorities. United Breweries' strategic framework rests on five pillars that have remained remarkably consistent across every document reviewed: premiumization, category growth, manufacturing footprint expansion, revenue management with cost discipline, and the parent Heineken's "EverGreen" strategy overlay. The FY24 annual report formally adopted Heineken's "Green Diamond" value creation model, which balances growth, profitability, capital efficiency, and sustainability in a single framework. In practice, however, the quarterly investor presentations reduce this to a simpler mantra repeated verbatim across Q4 FY25, Q1 FY26, and Q3 FY26: "Building further category growth while driving the share of premium in our portfolio remains a key focus." The word-for-word repetition of the outlook slide across three consecutive quarters is telling -- it suggests either a deeply embedded strategic consensus or, less charitably, a communications function running on autopilot. What has evolved is the operational emphasis beneath the headline. The Q4 FY25 presentation introduced a "Design to Win" distribution overhaul in Maharashtra, detailing distributor network redesign with granular metrics. By Q3 FY26, the strategic slide had shifted to a three-pronged transformation -- reorganisation of business functions, brewery network optimisation, and portfolio simplification -- signaling that management has moved from market expansion rhetoric into harder operational restructuring.

Capital Allocation Framework. UBL's stated capital allocation priorities are organic investment first, dividends second, with no mention of buybacks or M&A anywhere in the documents reviewed. The FY24 Board's Report disclosed Rs 190 crore in capex and a dividend of Rs 10 per share, representing roughly 65% of profit after tax. In FY25, capex stepped up to Rs 258 crore against operating cash flow of just Rs 235 crore, meaning the company was FCF-negative even before its Rs 10/share dividend (approximately Rs 264 crore). This is a meaningful inflection: UBL is funding its greenfield UP brewery and in-state premium production capacity by drawing down its balance sheet, not from free cash flow. Management acknowledges this indirectly through references to "short-term margin pressure prior to the completion of our capacity expansions" -- a phrase that appeared identically in both the Q4 FY25 and Q1 FY26 outlook slides, then was quietly dropped from Q3 FY26 once margins began recovering. The dividend payout ratio at roughly 60-65% of PAT looks generous for a company spending more than it generates in cash.

Long-Term Targets and Credibility. Management has been disciplined about avoiding hard

numerical targets in its strategic documents. The most concrete commitment is a "double-digit EBITDA margin" in the medium term, against FY25's 9.8%. The Q3 FY26 data shows this is within reach: YTD EBITDA margin stood at 10.1%, with Q3 alone hitting 11.4% on the back of 222 basis points of gross margin expansion. A cost savings program targeting 3-6% of FY25 revenue over FY26-28 provides further support. On the volume side, management points to industry growth of 6-7% annually, and UBL has been delivering at or above that rate. The double-digit margin target therefore looks credible, though investors should note it depends on continued premiumization momentum and cost savings offsetting persistent inflationary pressure.

Narrative Versus Reality. The strongest alignment between strategy and financials is in premiumization. Management has made this the centrepiece of every communication, and the numbers validate it emphatically: premium volumes grew 32% in FY25, 46% in Q1 FY26, and 23% YTD through Q3 FY26. The divergence, however, lies in the growth narrative's smoothness versus the underlying operational volatility. The Q3 FY26 results show total volumes declining 1.3% in the quarter, with the North region down 16% and the South down 2%, masked by strong 20% growth in the West. Management attributes this to "colder-than-usual winter," but the regional fragmentation reveals a structural vulnerability that the strategic documents address only obliquely through references to "policy advocacy." Similarly, finance costs exploded from Rs 7 crore in 9M FY25 to Rs 43 crore in 9M FY26, a sixfold increase that the presentations mention nowhere in their narrative commentary, leaving investors to discover the balance sheet implications of the capacity build on their own.

Addressable Market and Growth Framing. Chairman Anand Kripalu's FY24 letter frames the TAM argument around India's per capita beer consumption of just 2 litres annually, "significantly lower than countries in Asia-Pacific and the West." This is factually correct and directionally powerful -- it implies a multi-decade runway. What it omits is equally important: India's regulatory patchwork means the addressable market is not a single national market but 28 separate state markets, each with distinct taxation, pricing controls, and distribution rules. The company's own regional volume data demonstrates this fragmentation vividly, yet the strategic documents never quantify TAM in a way that accounts for it.

Risk Acknowledgement. The FY24 Chairman's letter stands out for its unusually candid enumeration of risks: government intervention in distribution, escalating taxation, raw material inflation, advertising restrictions, prohibition threats, water scarcity, labour market tightening, and cybersecurity. This is more forthright than most Indian FMCG annual reports. However, the quarterly investor presentations offer no risk discussion whatsoever -- the outlook slide is three sentences of optimism followed by a Q&A slide. The contrast suggests the annual report's risk disclosures are driven by compliance obligations rather than a genuine desire to keep investors informed between reporting cycles.

Evolution of Messaging. The most notable shift across the documents is the movement from growth-first to efficiency-first language. The FY24 annual report and Q4 FY25 presentation emphasise volume growth, category expansion, and brand investment. By Q1 FY26, margin pressure forces management to caveat its growth narrative with repeated references to "short-term margin pressure." By Q3 FY26, the messaging pivots decisively: the new strategic slide highlights "Reorganisation of business functions," "Brewery Network Optimisation," and "Portfolio Simplification & Cost Efficiency." The Q3 results vindicate this pivot, with other expenses declining 4% year-on-year despite 4%

revenue growth -- the first quarter where opex discipline outpaced revenue growth in the period reviewed. Management appears to be transitioning from a pure volume-growth story to a margin-expansion-through-mix-and-efficiency narrative, which is appropriate for a company approaching 50% market share where incremental share gains become harder to achieve.

10. Learning Resources

Podcasts & Audio

1. **Vijay Mallya on Raj Shamani Podcast** -- Raj Shamani. A 4.3-hour first-person account from Mallya covering the rise and collapse of Kingfisher Airlines, his relationship with banks, and the UB empire; 20 million+ views in four days (June 2025).
2. **United Breweries Earnings Calls on Quartr** -- Full transcripts, audio, and slides for Q1-Q3 FY26 and Q4 FY25. The single best starting point for management commentary.
3. **Heineken EverGreen 2030 Strategy Presentation** -- Parent-level context on how India fits within Heineken's 17 "Focus Growth Markets."

YouTube & Video

1. **Bad Boy Billionaires: India -- "The King of Good Times"** -- Dir. Dylan Mohan Gray (Netflix, 2020). The definitive documentary on Vijay Mallya's rise through beer and aviation to alleged money laundering and exile.
2. **Vijay Mallya -- Raj Shamani Interview (Full)** -- The viral 2025 sit-down where Mallya breaks a nine-year silence; covers Kingfisher brand-building, RCB ownership, and his proposed bank settlements.
3. **Dhruv Rathee: The Vijay Mallya Podcast -- Right or Wrong?** -- A fact-check and counter-narrative to Mallya's podcast claims, useful for balancing investor understanding of corporate governance risks.

Books

1. **Kingfizzer: The Mallya Story** -- Kingshuk Nag. The most detailed biography of Vijay Mallya, tracing his inheritance of UB Group, transformation of Kingfisher into a global brand, and the spectacular unraveling.
2. **India Beer Market Report 2026-2033** -- Phoenix Research. Comprehensive industry report covering market sizing, segmentation, premiumization trends, and competitive landscape.
3. **India Beer and Cider Market Analysis** -- GlobalData. Category and segment analysis with company-level brand data, pricing trends, and consumer insights.

Long-Form Articles & Research

1. **Heineken Bets Big on India's Premium Beer Surge** -- WhalesBook. Covers Heineken's parent-level strategy for UBL and premiumization targets.
2. **Global Beer Giants Pivot to India Amidst European Contraction** -- WhalesBook. Thematic piece on why India is the key growth battleground.
3. **JM Financial Initiating Coverage -- United Breweries** -- JM Financial (September 2025). Recent initiating coverage note with full DCF and relative valuation frameworks.

Earnings Calls & Primary Sources

- **Quartr -- United Breweries:** Transcripts, audio, and slide decks for all recent quarters plus FY24 and FY25 annual reports.
- **UBL Investor Relations:** Official filings, annual reports, board presentations, and regulatory disclosures.
- **BSE India -- UBL (532478):** Statutory filings, quarterly results, and shareholding patterns.
- **Screener.in -- UBL:** Clean financial history, peer comparisons, and concall transcripts aggregated.

Suggested Learning Path

Start with the HDFC Securities Stock Note for a concise financial overview, then listen to two or three consecutive earnings calls on Quartr (Q1 through Q3 FY26) to hear management in their own words. For the backstory, read Kingfizzer by Kingshuk Nag and watch Bad Boy Billionaires on Netflix. To understand the parent's logic, review Heineken's EverGreen 2030 strategy and the JM Financial initiation for a valuation framework.

11. Synthesis

The Five Things an Investor Must Understand

First, UBL is the closest thing to a monopoly in Indian beer, and that position is widening. With 48-49% national market share gaining ~100 bps annually and premium share accelerating even faster at 180-200 bps, this is not a company defending a legacy position -- it is actively consolidating. The Kingfisher brand franchise, 37,000+ visi-cooler distribution network, and Heineken's global brand portfolio create reinforcing advantages that no competitor can replicate within a decade. This is a genuinely dominant franchise.

Second, dominance has not translated into economic returns, and the regulatory architecture is the reason. India's state-by-state excise regime taxes away the scale economics that a 49% share position would generate in any other beer market globally. EBITDA margins of 9.8%, ROE of ~10%, and negative free cash flow are the financials of a mid-tier consumer goods company, not a near-monopolist. The paradox is that UBL's competitive moat is wide and durable, but the government extracts most of the economic rent through excise duties that exceed 50% of gross turnover. This structural ceiling is the central investment question: can premiumisation and cost efficiency break through it?

Third, the premiumisation thesis is real but carries a hidden complexity the market underappreciates. Premium volumes are growing 23-46% annually and deliver 2x EBITDA per case, which should be unambiguously margin-accretive. But the earnings call transcripts reveal a nuance that web research misses entirely: premium is currently margin-dilutive on a percentage basis because premium requires new bottle purchases (not returnable), inter-state transport (until localization is complete), and heavier brand investment. Kersten's disclosure that premium delivers "roughly 2/3 of the profitability from a margin perspective versus the rest of the portfolio" means the gross-margin uplift from premiumisation will only compound after localization reaches scale -- which is happening

now across eight newly activated breweries but is not yet fully mature. This is the difference between reading the headline ("premium = 2x EBITDA per case") and reading the transcript ("premium is currently margin-dilutive on a percentage basis").

Fourth, the CCI penalty and Telangana receivables are not priced as risks; they are treated as noise. The Rs 752 crore CCI penalty -- 1.7x FY25 PAT -- has been upheld by NCLAT and is before the Supreme Court. Management makes no provision and barely discusses it. Telangana receivables of ~Rs 900 crore represent a working capital trap where old overdues are collected only to be replaced by new ones, with the CEO admitting "the total exposure for us still remains the same." The market's 100x+ P/E implicitly assumes both risks resolve benignly. If either crystallises, the re-rating could be severe.

Fifth, Heineken's ownership is both the greatest asset and the subtlest risk. Heineken brings operational discipline, global brands, and strategic clarity. But it also brings expatriate CFO rotations (three in five years), brand investment spend that prioritises Heineken's global portfolio over UBL's near-term profitability (YTD FY26 PAT -9% despite revenue growth), and a governance structure where minority shareholders have limited visibility into transfer pricing and royalty arrangements. The cultural transition from Mallya-era swagger to Heineken process discipline is generating measurable friction: Glassdoor ratings of 2.7/5 and only 24% employee recommendation rates suggest the human capital foundation is stressed.

Tensions and Contradictions

The most striking tension is between the Competitive Landscape analysis (which paints UBL as a widening moat with compounding advantages) and the Financial Characteristics analysis (which shows sub-cost-of-capital returns and negative free cash flow). Both are correct -- the moat is real, but the government sits inside it, extracting the economic rent. The Earnings Call Deep Dive reveals management is acutely aware of this tension, with CEO Gupta's "number one concern" being affordability and excise taxation, not competition.

The Red Flags and Corporate Culture analyses converge on a risk the other sections largely miss: the human capital friction from Heineken's transformation. The strategic documents and earnings calls present a coherent, confident narrative, but the Glassdoor data and severance charges tell a different story of an organisation under strain. This is a leading indicator that financial data will not capture until it manifests as salesforce attrition or distribution execution gaps.

What Primary Sources Revealed That Web Research Would Have Missed

The earnings call transcripts exposed three critical facts invisible to web-only research: (1) premium is currently margin-dilutive on a percentage basis despite delivering higher absolute EBITDA per case, because bottle economics dominate the margin structure; (2) only 50% of the Q3 gross margin improvement is structural, with the rest being favourable state mix that will reverse; and (3) the cost savings program targets gross savings, not net -- a "significant portion" will be reinvested, meaning the P&L impact will be substantially less than the headline 3-6% figure suggests. The strategic documents analysis revealed that quarterly investor presentations contain zero risk discussion, while annual

reports are surprisingly candid -- a gap that suggests risk communication is compliance-driven rather than investor-facing.

Overall Quality Assessment

United Breweries is a **high-quality franchise in a structurally compromised operating environment, trading at an unreasonable valuation**. The business quality is evident: dominant brand, widening market share, demographic tailwinds, and competent management executing a clear premiumisation playbook. But quality is not the same as value. At 100x+ trailing earnings with sub-10% ROE, negative FCF, material contingent liabilities, and a regulatory regime that structurally caps returns, the stock prices in a decade of flawless execution with no margin of safety. The investment thesis requires conviction that premiumisation and cost efficiency will lift ROIC above the cost of capital within 3-5 years -- a plausible but unproven proposition.

Next Steps for Research

1. **Read the full FY25 annual report** (Quartr document 2625981), focusing on the related-party transaction schedule and auditor's commentary on contingent liabilities
2. **Track Carlsberg India's IPO prospectus** when filed -- it will reveal Carlsberg's actual margins, market share by state, and competitive positioning data that UBL does not disclose
3. **Monitor the CCI Supreme Court hearings** for timeline on judgment; this is the single largest binary risk
4. **Deep-dive Telangana receivables ageing** in the next quarterly filing -- if the pattern of collecting old overdues while accumulating new ones continues, a provision trigger becomes increasingly likely
5. **Compare Heineken's India segment disclosures** in its Amsterdam-listed filings with UBL's own disclosures -- any divergence would flag potential related-party or transfer-pricing concerns

Report generated 1 April 2026. Sources include Quartr transcripts, financial data, and event summaries; web research; company filings.